27 Oct 2026 02:36:40 ET | 14 pages

Cadence Design Systems, Inc. (CDNS.O)

Beat-and-Raise; Agentic AI Monetization Gains Traction

CITI'S TAKE

CDNS delivered another beat-and-raise quarter and raised its FY26 revenue guidance for the third time this year to $6.4B (up 21% YoY), driven by strength across EDA, IP, and Hardware. Despite 2026 being a lighter renewal year, CDNS continues to see strong add-on activity, fueled by agentic workflows and robust chip design activity. We see revenue extending through 2027, supported by a record backlog of $8.2B (up 17% YoY), and expect continued adoption of agentic workflows to drive upside to estimates. We raise our FY26/FY27 EPS estimates by 2%/4%. We reiterate Buy with a $420 PT, based on a 40x CY27 EPS multiple (vs. 42x prior) to reflect market multiple compression, but remain roughly in line with the stock's five-year trading average.

Beat and Raise — Cadence reported 3Q26 revenue of $1.63B (up 22% YoY) above consensus of $1.61B (up 20% YoY) and non-GAAP EPS of $2.11 above consensus of $2.05 primarily driven by IP and a record Hardware quarter. CDNS guided 4Q26 revenue to $1.71B (up 19% YoY), 4% above consensus of $1.65B (up 15% YoY), and 4Q26 non-GAAP EPS of $2.22, 9% above consensus of $2.03.

Expect upside to EDA growth in 2027 - Despite 2026 being a lighter renewal year, CDNS cited agentic AI as a contributor to 19% YoY EDA growth driven by agentic workflows and higher consumption of core EDA tools. With 2027 representing a larger renewal year vs 2026, we see upside to our 14% YoY EDA growth estimate.

IP strength sustained through 2027 — Cadence's IP business (15% of sales) is on track to grow ~32% YoY in 2026, and we model 27% YoY growth in 2027, above consensus of 18%, driven by recent foundry wins with Samsung and Intel, where CDNS has historically been underpenetrated. We highlight that ~90% of CDNS's IP portfolio is tied to data center and advanced-node applications.

China remains a growth driver – China revenue (14% of sales) is on track to grow >30% YoY in 2026, driven by strong chip design activity that mirrors U.S. hyperscaler trends. With China restrictions largely stable over the past year, CDNS expects growth momentum to continue. CDNS's China business is primarily weighted toward EDA software, followed by Hardware, IP and SD&A.

EPS (US$)	Q1	Q2	Q3	Q4	FY	FC Cons
2025A	1.57A	1.65A	1.93A	1.99A	7.14A	7.14A
2026E	**1.96A**	**2.11A**	**2.11A**	**2.28E**	**8.46E**	**8.18E**
Previous	1.96A	2.11A	2.05E	2.16E	8.28E	na
2027E	**2.35E**	**2.60E**	**2.66E**	**2.80E**	**10.42E**	**9.61E**
Previous	2.32E	2.53E	2.49E	2.63E	9.98E	na
2028E	**2.91E**	**3.20E**	**3.39E**	**3.47E**	**12.97E**	**11.21E**
Previous	2.77E	3.02E	3.06E	3.19E	12.04E	na

Source: Company Reports and dataCentral, Citi Research. FC Cons: First Call Consensus.

Buy

Price (26 Oct 26 16:00)	US$322.17
Target price	US$420.00
Expected share price return	30.4%
Expected dividend yield	0.0%
Expected total return	30.4%
Market Cap	US$88,723M

Price Performance
(RIC: CDNS.O, BB: CDNS US)



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CDNS.O: Fiscal year end 31-Dec

Price: US$322.17; TP: US$420.00; Market Cap: US$88,723m; Recomm: Buy

Profit & Loss (US$m)	2024	2025	2026E	2027E	2028E
Sales revenue	4,641	5,297	6,427	7,558	8,755
Cost of sales	-648	-722	-896	-785	-888
Gross profit	3,994	4,575	5,531	6,773	7,867
Gross Margin (%)	86.0	86.4	86.1	89.6	89.9
EBITDA (Adj)	**2,171**	**2,589**	**3,275**	**4,001**	**4,912**
EBITDA Margin (Adj) (%)	46.8	48.9	50.9	52.9	56.1
Depreciation	-106	-122	-151	-177	-200
Amortisation	-90	-105	-247	-291	-337
EBIT (Adj)	**1,974**	**2,361**	**2,876**	**3,534**	**4,375**
EBIT Margin (Adj) (%)	42.5	44.6	44.7	46.8	50.0
Net interest	-76	-117	-128	-125	-125
Associates	0	0	0	0	0
Non-Op/Except/Other Adj	-503	-723	-851	-1,076	-1,264
Pre-tax profit	**1,396**	**1,522**	**1,896**	**2,332**	**2,986**
Tax	-340	-413	-462	-583	-721
Extraord./Min.Int./Pref.div.	0	0	0	0	0
Reported net profit	**1,055**	**1,109**	**1,435**	**1,749**	**2,265**
Net Margin (%)	22.7	20.9	22.3	23.1	25.9
Core NPAT	1,635	1,952	2,328	2,870	3,573

Per share data	2024	2025	2026E	2027E	2028E
Reported EPS ($)	3.85	4.06	5.21	6.35	8.22
Core EPS ($)	5.97	7.14	8.46	10.42	12.97
DPS ($)	0	0	0	0	0
CFPS ($)	4.60	6.33	7.23	8.54	14.97
FCFPS ($)	4.08	5.81	6.45	7.63	13.92
BVPS ($)	17.07	20.14	26.38	32.32	40.56
Wtd avg ord shares (m)	271	271	274	275	275
Wtd avg diluted shares (m)	274	273	275	275	275

Growth rates	2024	2025	2026E	2027E	2028E
Sales revenue (%)	13.5	14.1	21.3	17.6	15.8
EBIT (Adj) (%)	15.0	19.6	21.8	22.9	23.8
Core NPAT (%)	16.4	19.3	19.3	23.3	24.5
Core EPS (%)	16.0	19.6	18.5	23.2	24.5

Balance Sheet (US$m)	2024	2025	2026E	2027E	2028E
Cash & cash equiv.	2,644	3,001	1,776	3,077	6,110
Accounts receivables	680	945	1,139	1,344	1,557
Inventory	258	304	366	432	500
Net fixed & other tangibles	1,985	2,016	2,160	2,232	2,322
Goodwill & intangibles	2,973	3,467	6,683	6,392	6,055
Financial & other assets	434	420	506	597	692
Total assets	**8,974**	**10,153**	**12,629**	**14,073**	**17,237**
Accounts payable	633	857	939	967	1,077
Short-term debt	0	0	150	150	150
Long-term debt	2,476	2,480	2,482	2,482	2,482
Provisions & other liab	1,192	1,342	1,792	1,572	2,357
Total liabilities	**4,301**	**4,679**	**5,363**	**5,171**	**6,066**
Shareholders' equity	4,674	5,474	7,265	8,901	11,170
Minority interests	0	0	0	0	0
Total equity	**4,674**	**5,474**	**7,265**	**8,901**	**11,170**
Net debt (Adj)	**-168**	**-521**	**856**	**-444**	**-3,478**
Net debt to equity (Adj) (%)	-3.6	-9.5	11.8	-5.0	-31.1

Valuation ratios	2024	2025	2026E	2027E	2028E
PE (x)	53.9	45.1	38.1	30.9	24.8
PB (x)	18.9	16.0	12.2	10.0	7.9
EV/EBITDA (x)	40.7	34.1	27.1	22.2	17.7
FCF yield (%)	1.3	1.8	2.0	2.4	4.3
Dividend yield (%)	na	na	na	na	na
Payout ratio (%)	0	0	0	0	0
ROE (%)	26.1	21.9	22.5	21.6	22.6

Cashflow (US$m)	2024	2025	2026E	2027E	2028E
EBITDA	1,571	1,749	2,307	2,851	3,570
Working capital	-209	-73	-458	-553	518
Other	-102	53	138	53	35
Operating cashflow	**1,261**	**1,729**	**1,988**	**2,351**	**4,124**
Capex	-143	-142	-213	-250	-290
Net acq/disposals	-695	-319	-2,075	0	0
Other	0	0	-7	0	0
Investing cashflow	**-837**	**-461**	**-2,295**	**-250**	**-290**
Dividends paid	0	0	0	0	0
Financing cashflow	**1,239**	**-949**	**-907**	**-800**	**-800**
Net change in cash	**1,636**	**357**	**-1,225**	**1,301**	**3,034**
Free cashflow to s/holders	**1,118**	**1,587**	**1,775**	**2,101**	**3,834**

For definitions of the items in this table, please click here.

3Q26 Earnings Recap

Beat and Raise

Cadence reported 3Q26 revenue of $1.63B (up 22% YoY) above consensus of $1.61B (up 20% YoY) and non-GAAP EPS of $2.11 above consensus of $2.05 primarily driven by IP, and another record Hardware quarter. CDNS guided 4Q26 revenue to $1.71B (up 19% YoY), 4% above consensus of $1.65B (up 15% YoY), and 4Q26 non-GAAP EPS of $2.22, 9% above consensus of $2.03.

Figure 1. Beat and Raise – Strong 3Q26 Results and 4Q26 Guidance

	3Q26 Results				4Q26 Guidance			
CDNS	**Actual**	**Citi**	**Cons**	**Actual vs Cons**	**Guidance**	**Citi**	**Cons**	**Guide vs Con**
EDA	1,127	1,088	1,115	1%		1,182	1,127	
YoY	19%	14%	17%			19%	13%	
IP	245	247	235	4%		283	243	
YoY	31%	32%	25%			31%	12%	
Simulation & Analysis	261	275	267	-2%		270	287	
YoY	30%	37%	33%			17%	25%	
Sales	**1,633**	**1,611**	**1,613**	**1%**	**1,710**	**1,735**	**1,649**	**4%**
YoY	22%	20.3%	20%		19%	20.5%	15%	
Operating Margins	44.1%	43.1%	44.1%	-4 bps	44.5%	44.7%	43.2%	131 bps
Proforma EPS excl. SBC	**$2.11**	**$2.04**	**$2.05**	**3%**	**$2.22**	**$2.28**	**$2.03**	**9%**
Proforma EPS incl. SBC	$1.58	$1.55	$1.55	2%	$1.71	$1.74	$1.52	13%

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Source: Citi Research, Company Reports, FactSet, Visible Alpha

CDNS raises F26 sales and EPS guidance

CDNS raised F26 revenue guidance by $102M to $6.40B (up 21% YoY), its third raise this year, and above consensus of $6.32B (up 19% YoY). The company also increased FY26 non-GAAP operating margin guidance by ~45 bps to 44.7% above consensus of 44.4% and FY26 non-GAAP EPS guidance by $0.30 to $8.40, 3% above consensus of $8.15.

Figure 2. F26 Guidance vs Consensus

Non-GAAP	C26E			
CDNS	**Current Guide**	**Prior Guide**	**Prior Cons**	**Guide vs Cons**
Sales	6,402	6,300	6,323	1%
YoY	21%	19%	19%	
Operating Margins	44.7%	44.3%	44.4%	31 bps
Proforma EPS excl. SBC	**$8.40**	**$8.10**	**$8.15**	**3%**
Proforma EPS incl. SBC	$6.33	$6.04	$6.08	4%

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Source: Citi Research, FactSet

We lift our F27 EPS estimate by 4%

We raise our F26 sales/EPS estimates by 1%/2% and our F27 sales/EPS estimates by 2%/4%, driven by continued strength in EDA and IP. CDNS noted early revenue acceleration from agentic AI adoption, and we believe faster-than-expected deployment could provide further upside to our estimates.

Figure 3. Citi F26E and F27E Changes

Non-GAAP	F26E			F27E		
CDNS	New	Old	Delta	New	Old	Delta
EDA	4,428	4,330	2%	5,048	4,904	3%
YoY	19%	16%		14%	13%	
IP	978	970	1%	1,238	1,228	1%
YoY	32%	30%		27%	27%	
Simulation & Analysis	1,021	1,035	-1%	1,271	1,289	-1%
YoY	24%	26%		25%	25%	
Sales	6,427	6,335	1%	7,558	7,420	2%
YoY	21%	20%		18%	17%	
Operating Margins	44.7%	44.3%	45 bps	46.8%	45.3%	143 bps
Proforma EPS excl. SBC	$8.46	$8.28	2%	$10.42	$9.98	4%
Proforma EPS incl. SBC	$6.36	$6.22	2%	$7.93	$7.52	5%

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Source: Citi Research

Reiterate Buy with $420 PT

We reiterate Buy and maintain our $420 PT, based on a 40x CY27 EPS multiple (vs. 42x prior) to reflect market multiple compression, and roughly in line with the stock's five-year average. Our C27 EPS estimate is 9% above consensus driven by higher IP and EDA growth.

Key commentary

2027 renewal base larger than 2026 – Management indicated that 2027 will have a higher renewal volume than 2026. While management did not explicitly characterize 2027 as a "stronger year," they noted that backlog is expected to be higher YoY. Although 2026 is lighter on renewals, management noted strong add-on activity driven by both agentic AI, which increases usage of core EDA tools, and higher chip design activity, with customers frequently returning for incremental capacity beyond their original commitments.

IP business trends: IP has grown 20%+ annually over the past three years, and management expects the underlying growth drivers to remain intact into 2027. We also see further upside from share gains at Samsung and Intel, where CDNS has historically been underpenetrated.

Benefiting from AI monetization today – Current revenue acceleration is primarily driven by higher consumption of core EDA tools as AI agents increasingly use them. "Super agents" represent a new TAM opportunity, though management noted adoption remains early.

Record hardware momentum continues: Q3 marked sixth consecutive year of record hardware performance. CDNS hardware demand continues to exceed available capacity as increasing chip complexity and AI/HPC workloads drive greater emulation adoption, making typical seasonality irrelevant.

Expects operating margins expansion in 2027: 2026 operating margins were impacted by the Hexagon acquisition, but management expects those headwinds to largely dissipate in 2027, supporting margin expansion. CDNS targets incremental operating margins of at least 50%.

EDA and SD&A carry the highest margins – EDA and SD&A have the highest margins, followed by IP, while Hardware carries the lowest margins due to its higher COGS profile, though margins remain healthy.

Bull/Bear: Cadence Design Systems, Inc. (CDNS.O)

US$ 440.00 ▲37% Upside | US$ 420.00 ▲30% Upside | US$ 270.00 ▼16% Downside



Spread 53pp
Current Price and expected returns (upside/downside) as of 26 Oct 2026

BULL Assumptions

- High-teens revenue growth
- 44X C27 EPS

BASE Assumptions

- Low-teens revenue growth with ~50% incremental operating margins
- 40X C27 EPS

BEAR Assumptions

- High single-digit revenue growth
- Macroeconomic downturn resulting in multiple contraction
- 27X C27 EPS

Cadence Design Systems, Inc.

Company description

Founded in 1988, Cadence Designs Systems is the second-largest Electronic Design Automation (EDA) company with an estimated 30-35% market share, and the third largest IP provider with roughly 6% market share. Cadence led the EDA industry shift into the multi-physics simulation market. The company operates across three primary segments: EDA (67% of C26E sales), IP (14%) and Simulation and Analysis (20%).

Investment strategy

We are Buy-rated on CDNS as we believe the company can sustain a low-teens revenue growth rate, with incremental operating margins of 50% due to rising semiconductor design complexity and TAM expansion from chip-to-system simulation.

Valuation

Our price target of $420, or 40x C27 EPS, is roughly at its 5-year trading range.

Risks

Risks to our target price include:

Geopolitical risks: US export restrictions on EDA tools and IP to China or other parts of the world could result in a downside to our estimates and rating.

Rising competition: Emerging EDA and IP providers in China and China's increasing effort to localize its semiconductor supply chain could result in a downside to our estimates and rating.

Macroeconomic: A deep macroeconomic downturn could eventually trigger R&D budget cuts, which in turn would impact revenue growth and lead to a downside to our estimates and de-rating of the multiple.

Interest rate risks: Cadence shares trade at a large premium to the S&P500, and interest rate hikes could lead to a de-rating of the multiple.

M&A: If Cadence pursues further acquisitions, it could lead to margin/EPS accretion and result in upside to our estimates.

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Appendix A-1

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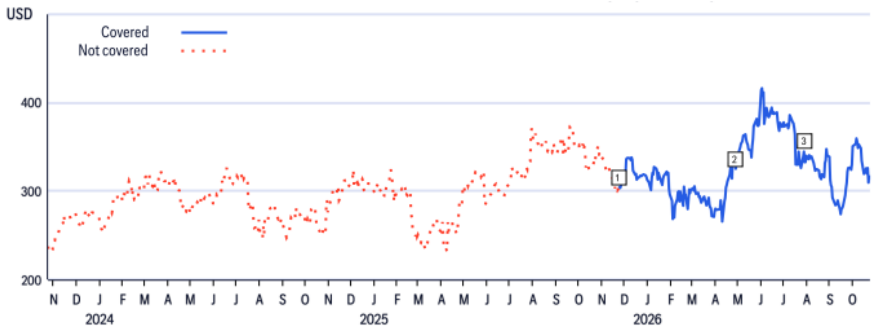
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Cadence Design Systems, Inc. (CDNS)

Ratings and Target Price History
Fundamental Research

Analyst: Kelsey Chia, CFA



	Date	Rating	Target Price	Closing Price
1	24-Nov-25 03:00:00	*1	*385.00	304.47
2	28-Apr-26 04:52:55	1	*400.00	325.31
3	28-Jul-26 03:11:09	1	*420.00	344.72

*Indicates Change

Rating/target price changes above reflect Eastern Time

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